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Credit - Drishti Ias

NITI Aayog’s Investment Friendliness Index 2026

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For Prelims: NITI Aayog , Federalism , World Bank Ease of Doing Business framework , Venture capital , Production Linked Incentive (PLI) Scheme ,

For Mains: Cooperative & Competitive Federalism; Role of NITI Aayog in Economic Governance, Ease of Doing Business and State-Level Governance Reforms.

Source: PIB

Why in News?

NITI Aayog released the first ever **Investment Friendliness Index (IFI) 2026** to benchmark and assess the **readiness** of Indian States and Union Territories (UTs) in attracting, facilitating, and sustaining domestic and foreign investments.

- The index operationalizes the macroeconomic vision of ***Viksit Bharat @2047*** by promoting **competitive and cooperative federalism** at the sub-national level.

Summary

- **The Investment Friendliness Index (IFI) 2026** , released by **NITI Aayog** , is a homegrown framework that assesses the investment readiness of States and UTs across **eight pillars** to promote **competitive and cooperative federalism** and support **Viksit Bharat @2047** .
- The report highlights **regional investment disparities** , infrastructure and regulatory bottlenecks, and recommends reforms such as **single-window clearances, infrastructure development, skill enhancement, and institutional governance** to improve India's investment competitiveness.

What is the Investment Friendliness Index (IFI)?

- **Genesis and Mandate:** The index was conceptualized following directives from the **9 th Governing Council Meeting of NITI Aayog** in 2024 and was formally announced in the **Union Budget 2025–26** as a strategic reform instrument.

- **Methodological Shift:** Moving beyond the discontinued **World Bank Ease of Doing Business framework** , the IFI offers a **homegrown, data-driven methodology** that combines 84 objective indicators with primary investor perception surveys.
- **The Eight Pillars of Evaluation: The IFI** assesses **28 States and 8 Union Territories** through a **composite score of 100** , based on **84 indicators** derived from **secondary data** and **investor perception surveys** . It evaluates the investment ecosystem across **eight core pillars** critical to attracting and sustaining investments.
    - **Infrastructure:** Physical logistics, power reliability, and digital connectivity.
    - **Business Climate:** Efficacy of single-window clearances and operational continuity.
    - **Resources:** Availability of industrial land, skilled labor pools, and raw materials.
    - **Government Policy:** Policy predictability and stability over time.
    - **Regulatory Ease:** Minimization of bureaucratic friction and compliance burdens.
    - **Institutional Environment:** Capacity, transparency, and responsiveness of state institutions.
    - **Financial Health:** Fiscal prudence and state-level macroeconomic indicators.
    - **Environmental Resilience:** Sustainability and ecological compliance parameters.
- **Performance Stratification:** The index classifies States and UTs into **four tiers** based on their cumulative scores to ensure fair peer comparison:
    - **Top Performers:** Scores above 50.
    - **Frontrunners:** Scores between 45–50.
    - **Emerging Performers:** Scores between 40–45
    - **Aspiring States:** Scores below 40.

Key Findings of the Investment Friendliness Index (IFI) 2026 Report

- **Top Performers: Gujarat (56.6)** ranked first, followed by **Maharashtra (53.7), Tamil Nadu (53.3), Goa (53.1), and Odisha (52.4).**
- **Category-Specific Toppers:**
    - ***Large States:*** Gujarat, Maharashtra, and Tamil Nadu.
    - ***Hilly and North-Eastern States:*** Uttarakhand emerged as the highest-ranked, followed by Assam and Himachal Pradesh.
    - ***Union Territories and City States*** *:* Delhi and Chandigarh.
- **Drivers of Success: Gujarat** leads on efficient port turnaround times, a competitive and reliable power sector, high manufacturing exports (~31% of India's merchandise exports) and the lowest fiscal deficit-to-GSDP ratio (2.81%) among states (as of fiscal 2024).
    - **Maharashtra** leads on business climate with highest share of **private equity/venture capital (PE/VC)** investment (35% of the national total) and the largest number of Atal Tinkering Labs.
    - **Tamil Nadu** leads on infrastructure and business climate, backed by near-100% memorandum of understanding (MoU) conversion and strong export performance.
    - **Goa** tops resources and regulatory ease among city states/UTs, aided by high skilling/healthcare spend and a high renewable share in its power mix.

Category	States/Union Territories
Top performers	Goa, Gujarat, Maharashtra, Odisha, Tamil Nadu
Frontrunners	Andhra Pradesh, Assam, Chandigarh, Chhattisgarh, Delhi, Haryana, Himachal Pradesh, Karnataka, Kerala, Madhya Pradesh, Rajasthan, Telangana, Tripura, Uttarakhand, Uttar Pradesh
Emerging performers	Bihar, Jammu and Kashmir, Jharkhand, Meghalaya, Nagaland, Puducherry, Punjab, West Bengal
Aspiring states	Andaman and Nicobar Islands, Arunachal Pradesh, Dadra & Nagar Haveli and Daman & Diu, Ladakh, Lakshadweep, Manipur, Mizoram, Sikkim

Why Does India Need a State-Level Investment Index?

- **Achieving Viksit Bharat:** India has recorded robust economic growth over the past three decades, with r **eal GDP growing at an average annual rate of 6.1% between FY1992 and FY2025.**
  - However, according to the **WB's India Country Economic Memorandum (2025),** India must sustain around **7.8% average real GDP growth over the next two decades** to achieve high-income economy status by 2047 under the Viksit Bharat vision, necessitating significantly higher investment.
- **Investment as the Main Growth Driver:** The **RBI's KLEMS database** shows that **capital formation has contributed more than half of India's economic growth** since the 1991 economic reforms, highlighting the need to accelerate investment.
- **Low Investment Rate:** India's **investment rate stood at 29.9% of GDP in FY25** , well below the **40%+ investment rates** achieved by countries such as **Japan, South Korea, and China** during their rapid industrialisation.
- **Addressing Regional Imbalances:** Nearly **85% of FDI inflows** are concentrated in **Maharashtra, Karnataka, Gujarat, Delhi, and Tamil Nadu** , while the **Northeastern states receive less than 1%** , underscoring the need to improve investment competitiveness across all states.
- **Greater Role for States:** With the Centre's fiscal space becoming more selective despite higher public capital expenditure, **private investment and state-led reforms** will play a larger role in driving future growth.
  - A **State-Level Investment Index** can encourage competitive federalism and improve the investment climate across states.

What are the Challenges in Attracting Investments Across States?

Macro-Level Challenges

- **Sharp Regional FDI Divergence:** The **top five states** (Maharashtra, Karnataka, Gujarat, Delhi and Tamil Nadu) account for nearly **85% of India's FDI inflows** . The difference between the top scorer (Gujarat, 56.6) and the lowest (Lakshadweep, 24.5) is over 32 points, reflecting deep structural disparities in infrastructure and economic base.
- **Persistent Investor Pain Points:** Despite improvements in **digital infrastructure and logistics** , investors continue to flag **long approval timelines, difficulties in land access, and shortage of**

skilled labour , particularly in high-value manufacturing sectors.

- **Incentives Alone Are Not Enough:** While states increasingly compete through fiscal incentives, the report emphasizes that **a transparent, predictable, and stable regulatory environment** is far more important for attracting sustained private investment.
- **Even Top Performers Have Scope for Reform: No state crossed 60 out of 100** in the Investment Index, with **Gujarat scoring the highest at 56.6** , indicating that investment ecosystem gaps exist even in the best-performing states.

Recurring Issues Identified in State Profiles

- **Human Capital Constraints:** Shortage of skilled labour and talent migration continue to impede investment across several states, particularly **J&K, Chhattisgarh, Rajasthan, Tripura, Nagaland, and Uttar Pradesh (Kanpur)** .
- **Weak Single-Window Clearance Mechanisms:** In **J&K** , the digital single-window system is frequently bypassed, with **manual complaint registration** continuing despite online provisions.
- **Safety and Law-and-Order Concerns:** In **Bihar** , investor confidence is affected by **perceived security concerns** and **limited air connectivity** to Tier-II and Tier-III cities.
- **Fiscal Stress: Bihar's** outstanding liabilities-to-GSDP ratio is nearly 500 basis points above the national average, while **J&K's Gross Fiscal Deficit is around 9% of GSDP** and **interest payments account for about 7.13% of GSDP** , almost double the average for hilly and northeastern states.
- **Digital Infrastructure Gaps: Jammu & Kashmir's 4G/5G penetration remains low** , with a **Base Transceiver Station (BTS) density of only 0.82 per sq. km** , while several states continue to face weak last-mile digital connectivity.
- **Environmental Risks: Uttar Pradesh's industrial clusters** such as **Noida, Ghaziabad, and Muzaffarnagar** experience **AQI levels of 200– 600** for much of the year, while several states also face recurring flood risks requiring long-term drainage and water-management solutions, affecting industrial productivity and livability.
- **Logistics Bottlenecks:** Investors repeatedly highlighted poor road quality, weak last-mile connectivity between industrial parks and ports/airports, and inadequate warehousing and cold-storage infrastructure as major constraints.
    - Lack of **Tier-II/III airport connectivity** in **Bihar** , need for an operational airport in **Sikkim** , congestion at **Chennai Airport** , and inadequate airport infrastructure in **Odisha** and **Chandigarh** hinder investment.
- **Slow Incentive Disbursement:** Delays in incentive payments and weak inter-departmental coordination were highlighted in **Andhra Pradesh** and **Telangana** .

Region-Specific Structural Challenges

Category	Challenge Identified
Hilly & Northeastern States	Difficult terrain constrains infrastructure development and access to resources. **Ladakh recorded the lowest overall score (27.0).**
Large States	Complex administrative structures and significant intra-state regional disparities reduce policy implementation efficiency.
City States/UTs	Compact geography limits the availability of land and natural resources, although better urban infrastructure partly offsets these constraints.

What Measures are Needed to Improve Investment Competitiveness?

- **Accelerate Land and Labour Reforms:** Simplify land allotment, improve labour flexibility, and strengthen **industry-aligned skilling** through initiatives such as the **Skill India Mission** and **PM Kaushal Vikas Yojana (PMKVY)** .
- **Operationalise Genuine Single-Window Systems:** Ensure fully integrated digital clearance mechanisms under the **National Single Window System (NSWS)** by eliminating manual approvals and reducing project approval timelines from **6–18 months to less than 30–60 days** .
- **Adopt Targeted Industrial Policies:** Promote **sector-specific incentives** through the **Production Linked Incentive (PLI) Scheme** , following successful models such as **Gujarat's Semiconductor Policy** and **Tamil Nadu's EV Policy** , which attracted investments from **Samsung, Tata Group, and Foxconn** .
- **Follow an Infrastructure-First Strategy:** Expand industrial ecosystems under the **PM Gati Shakti National Master Plan** , **National Industrial Corridor Development Programme (NICDP)** , and projects such as **GIFT City** , **Samruddhi Corridor** , and the **Chennai–Bengaluru Industrial Corridor** .
- **Strengthen the Business Climate:** Reduce regulatory compliance, simplify approvals, and improve industry-relevant skilling, particularly in states where the **Business Climate** pillar remains weak.
- **Enhance Fiscal Sustainability:** Reduce debt burdens, diversify revenue sources, and create fiscal space for infrastructure investment and industrial incentives.
- **Bridge Infrastructure Gaps:** Strengthen industrial power supply under the **Revamped Distribution Sector Scheme (RDSS)** , improve digital connectivity through **BharatNet** , and expand warehousing and logistics under the **PM Gati Shakti** framework.
- **Strengthen Institutional Governance:** Ensure policy stability, transparent land allotment, faster environmental clearances, and robust grievance-redressal mechanisms to enhance investor confidence.
- **Develop Human Capital:** Expand **Skill India Mission** , **PMKVY** , and **National Apprenticeship Promotion Scheme (NAPS)** to address skilled labour shortages and improve talent retention.
- **Build Climate-Resilient Infrastructure:** Promote sustainable industrial growth through the **National Action Plan on Climate Change (NAPCC)** and climate-resilient infrastructure planning.
- **Institutionalise the State-Level Investment Index:** Use the Index as a recurring benchmarking tool to promote **peer learning** , **evidence-based policymaking** , and **cooperative-cum-competitive federalism** , enabling states to track reform outcomes over successive editions.

Conclusion

The Investment Friendliness Index marks a shift from one-time ease-of-doing-business rankings to a continuous, evidence-based reform framework. By fostering cooperative-cum-competitive federalism, it can strengthen State-level governance, improve investor confidence, and accelerate India's journey towards Viksit Bharat @2047.

Drishti Mains Question:

Despite policy reforms, investment remains concentrated in a few Indian states. Analyse the structural challenges responsible for regional investment disparities.

Frequently Asked Questions (FAQs)

1. What is the Investment Friendliness Index (IFI)?
The **Investment Friendliness Index (IFI)** is a **NITI Aayog** initiative that assesses the investment readiness of **States and Union Territories** using **84 indicators** and investor perception surveys.

2. Why was the Investment Friendliness Index introduced?
It promotes **competitive and cooperative federalism** , strengthens the investment climate across States, and supports the vision of **Viksit Bharat @2047** through evidence-based reforms.

3. What are the key pillars of the Investment Friendliness Index?
The Index evaluates Infrastructure, Business Climate, Resources, Government Policy, Regulatory Ease, Institutional Environment, Financial Health, and Environmental Resilience.

4. What are the major challenges in attracting investments across Indian States?
Key challenges include **regional FDI disparities, infrastructure gaps, regulatory delays, skilled labour shortages, fiscal stress, and logistics bottlenecks** .

5. What measures can improve investment competitiveness in India?
Key measures include **land and labour reforms, operational single-window systems, infrastructure development, skill enhancement, fiscal sustainability, and climate-resilient industrial infrastructure** .

[Watch Video on YouTube: ▶ https://www.youtube.com/embed/dDZKLvhpBo0]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Prelims

Q. Consider the following: (2021)

1. Foreign currency convertible bonds
2. Foreign institutional investment with certain conditions
3. Global depository receipts
4. Non-resident external deposits

Which of the above can be included in Foreign Direct Investments?

(a) 1, 2 and 3

(b) 3 only

(c) 2 and 4

(d) 1 and 4

Ans: (a)

Q. With reference to Foreign Direct Investment in India, which one of the following is considered its major characteristic? (2020)

(a) It is the investment through capital instruments essentially in a listed company.

(b) It is a largely non-debt creating capital flow.

(c) It is the investment which involves debt-servicing.

(d) It is the investment made by foreign institutional investors in Government securities.

Ans: (b)

Mains

Q . Justify the need for FDI for the development of the Indian economy. Why is there a gap between MOUs signed and actual FDIs? Suggest remedial steps to be taken for increasing actual FDIs in India. **(2016)**

R. Vairamuthu Conferred 60th Jnanpith Award

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Source: TH

Noted Tamil poet and lyricist **R. Vairamuthu** has been conferred the **60th Jnanpith Award** for the year 2025.

- He is the **third Tamil literary figure to receive the Jnanpith Award,** after **Akilan and Jayakanthan** , ending a 24-year gap for Tamil literature.
- He had earlier received the **Sahitya Akademi Award (2003)** for **Kallikattu Ithikasam** .

Jnanpith Award

- **About:** The Jnanpith Award, instituted in **1961** by the Bharatiya Jnanpith, is India's **highest literary honour** recognising exceptional lifetime contributions by authors.
  - Often regarded as the **"Nobel Prize of Indian literature,"** it highlights **India's linguistic diversity** and **literary integrity** .
- **Institutional Background:** The award was established by industrialist **Sahu Shanti Prasad Jain** and his wife Rama Jain via the **Bharatiya Jnanpith** , a cultural organization set up in 1944. The **first award** was conferred in **1965** to **G. Sankara Kurup** (Malayalam).
  - The **1st woman** recipient was **Ashapurna Devi** (Bengali) in 1976, and the **1st English-language** winner was **Amitav Ghosh** in 2018.
- **Eligibility and Scope:** It is presented annually only to an **Indian author** for their **"outstanding contribution towards literature."** From **1965 to 1981** , the award was given for a **specific book/work** . Since **1982** , it has been awarded for an **author's lifetime contribution** to Indian literature.
  - It covers all **22 Eighth Schedule languages** as well as English (included in 2013). **No posthumous awards** are given.
- **Prize and Symbolism:** The recipient receives a **cash prize** of **Rs 11 lakh** , a **citation** , and a **bronze statuette of Vagdevi (Saraswati)** , the goddess of knowledge. The award is often presented by the **President** of India.
- **Selection Process:** A **high-level committee** (Pravara Parishad) of eminent scholars and litterateurs evaluates **nominations** based on **creativity, vision, and impact on Indian literature** .

Read more: 60th Jnanpith Award

Breeding of Indian Grey Hornbills in Gir

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Source: TH

After disappearing from **Gujarat's Gir forests** for over **60 years** , the **Indian Grey Hornbill** has successfully bred for the **fourth consecutive year** following its reintroduction **in 2021** .

- **40 Indian Grey Hornbills** were translocated from **Gujarat's Aravalli forests** and released in two phases (**28 birds** during **2021–22 & 12 birds** in **2023)**
- **11 male hornbills** were fitted with **satellite transmitters** to monitor their **movement, habitat use, settlement patterns, and breeding behaviour** .

Indian Grey Hornbill

- **About:** The Indian Grey Hornbill is a hornbill species found in the Indian subcontinent and is associated with forests, wooded areas, orchards and human-modified landscapes.
- **Scientific Name:** The Indian Grey Hornbill is scientifically known as *Ocyceros birostris* .
- **Distribution:** It is the most widely distributed hornbill species in India, found from Jammu to Kerala and from Rajasthan to West Bengal.
- **Neighbouring Range:** The species is also found in parts of Pakistan, Nepal and Bangladesh.
- **Habitat:** It prefers dry plains, foothills and open habitats, and can be seen in deciduous forests, orchards, thorny scrub, gardens and urban areas with old trees.
- **Habitat Recovery:** Improved protection after the declaration of Gir Wildlife Sanctuary in 1965 and Gir National Park in 1975 created favourable conditions for reintroduction.
- **IUCN Status** : Least Concern
- **Appearance:** The bird has an ashy, silvery-grey body, long tail feathers with a white band, and a curved ivory-coloured beak that is blackish at the base.
- **Casque:** It has a narrow protruding casque on its beak, with males having a larger casque than females.
- **Eye Features:** Adults have red eyes and grey skin around the eyes, while juveniles have brown-orange eyes with reddish-orange skin around them.
- **Ecological Role:** It acts as an important seed disperser and helps regenerate trees across forests, rural landscapes and urban spaces.

Read more: Save Hornbills, Save Tropical Forests